HOUSE BILL 2361
By Hawk

SENATE BILL 1812

By Bailey

AN ACT to amend Tennessee Code Annotated, Title 9, Chapter 4, relative to precious metals.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as "The Mint Act."

SECTION 2. Tennessee Code Annotated, Section 9-4-801, is amended by adding the following as new, appropriately designated subdivisions:

( ) "Coins" mean precious metals fabricated into products of uniform shape, size, design, content, weight, and purity that are:

(A) Issued or authorized by a sovereign mint for use as currency or legal tender; or

(B) Produced as medallions or rounds having symbolic or commemorative value and not intended for circulation, and which may be stamped or imprinted with indications of weight and purity;

( ) "Precious metal" means gold and silver;

SECTION 3. Tennessee Code Annotated, Title 9, Chapter 4, Part 8, is amended by adding the following new sections:

9-4-803. Precious metals fund.

There is hereby established within the state treasury an enterprise fund to be known as the "precious metals fund" for the purpose of acquiring, converting, storing, and selling bullion and specie. The state treasurer shall administer the precious metals fund in accordance with this part.

9-4-804. Purposes of part.

This part:

(1) Expressly authorizes the conversion of acquired and stored bullion into specie and the limited retail sale of such specie; and

(2) Builds on prior legislative acts by establishing a distinct enterprise fund and framework for managing toll conversion and sales activities.

9-4-805. Precious metals funding mechanism.

(a) It is the legislative intent that fifty million dollars ($50,000,000) be appropriated to the precious metals fund in fiscal year 2027 for the purpose of acquiring and converting bullion into specie.

(b) Transfers from the reserve for revenue fluctuations or any other state reserve fund must not be used to make appropriations to the precious metals fund.

9-4-806. Duties and requirements of the state treasurer.

(a) The state treasurer shall contract with a toll converter based in this state for the conversion of acquired bullion into specie. It is the legislative intent that:

(1) Precious metal bullion purchased under this part be converted to specie by the toll converter within twelve (12) months of acquisition; and

(2) The state treasurer, when reviewing bids and selecting the toll converter, consider such toll converter's business presence in this state, with a preference that the toll converter has at least forty (40) years' experience selling coin-type products and at least fifty (50) years in the industry.

(b) The treasurer is authorized to generate revenue through the sale of specie. The treasurer shall develop and implement a process to sell up to ten percent (10%) of the converted specie to residents of this state and other states to establish the brand and reputation of Tennessee bullion and to establish the fair market value of bullion manufactured in this state and held by the state. The treasurer shall prioritize sales to residents of this state.

(c) The treasurer shall retain at least ninety percent (90%) of the precious metal specie for state reserves as a long-term hedge against inflation and economic instability, with silver specie held to protect state assets from potential price increases and stored in a manner not directly tied to the United States dollar.

(d) The treasurer shall establish policies and procedures to ensure the security, accounting, and reporting of fund activities. The treasurer may promulgate rules in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5, to effectuate this part.

9-4-807. Oversight and reporting.

(a) The state treasurer shall submit an annual report to the general assembly detailing:

(1) The amount of bullion acquired and converted to specie;

(2) The total quantity and market value of specie held by the state;

(3) Revenue generated from sales of specie and third-party storage fees; and

(4) Any additional recommendations regarding operations of the precious metals fund.

(b) Except as provided in subsection (e), the treasurer shall ensure all transactions and fund operations are conducted in a transparent manner. Such transactions and operations are subject to audit by the comptroller of the treasury.

(c) The funds for the purchase and sale of bullion and specie must come from the precious metals fund. Any funds remaining in the precious metals fund at the end of any fiscal year must be carried forward in the precious metals fund and remain available to purchase and sell bullion and specie. The income, gains, and losses from transactions involving bullion or specie must remain in the precious metals fund and be accounted for separately from other transactions.

(d) Notwithstanding title 12, chapter 3, the procurement of bullion and specie may be made in a manner prescribed by the state treasurer with the approval of the comptroller of the treasury. Bullion and specie procured for the precious metals fund in accordance with this part are not considered goods, as defined in § 12-3-201, and are not subject to § 4-56-107.

(e) The records, documents, and papers in the possession of the department of the treasury or any other state agency containing the following information relative to bullion and specie purchased, sold, and maintained in accordance with this part must be treated as confidential and not be open for inspection by members of the public under title 10, chapter 7, part 5:

(1) Location;

(2) Custody;

(3) Maintenance;

(4) Transportation;

(5) Insurance;

(6) Procurement processes;

(7) Proposals relative to the procurement of goods or services, and related records, including, but not limited to, evaluations, notices, communications, and memoranda;

(8) Procurement solicitations, requests for quotes, and requests submitted to the state's central procurement office for the procurement of goods and services;

(9) Contracts, agreements, warrants, and confirmations; and

(10) Security, including, but not limited to, alarm systems, security codes, access codes, passwords, security procedures and protocols, security and vulnerability testing, business continuity plans and testing, disaster recovery plans and testing, and audit reports.

SECTION 4. Tennessee Code Annotated, Section 9-4-802(e), is amended by deleting the subsection and substituting instead the following:

(e) The expenses for the administration and implementation of the purchase, sale, transportation, maintenance, valuation, security, insurance, and custody of the precious metal bullion or specie must be paid from the precious metals fund established in § 9-4-803.

SECTION 5. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 6. For purposes of promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2026, the public welfare requiring it.